

Professional Trading Tutorial - Section 14

Options Spreads, Condors, Butterflies, and Defined Risk

Directional and range-bound option structures, payoff thinking, and why defined risk is not the same as no risk.

Session Anchor

Options were introduced as an advanced way to express views on both sides of a chart using spreads, condors, or butterflies. This tutorial makes the idea safer by replacing 'minimal losses' with 'defined maximum loss when structured correctly.'

Student Promise

By the end of this tutorial, students should be able to explain the concept, apply it to a live or replayed chart, and know what evidence would invalidate their interpretation.

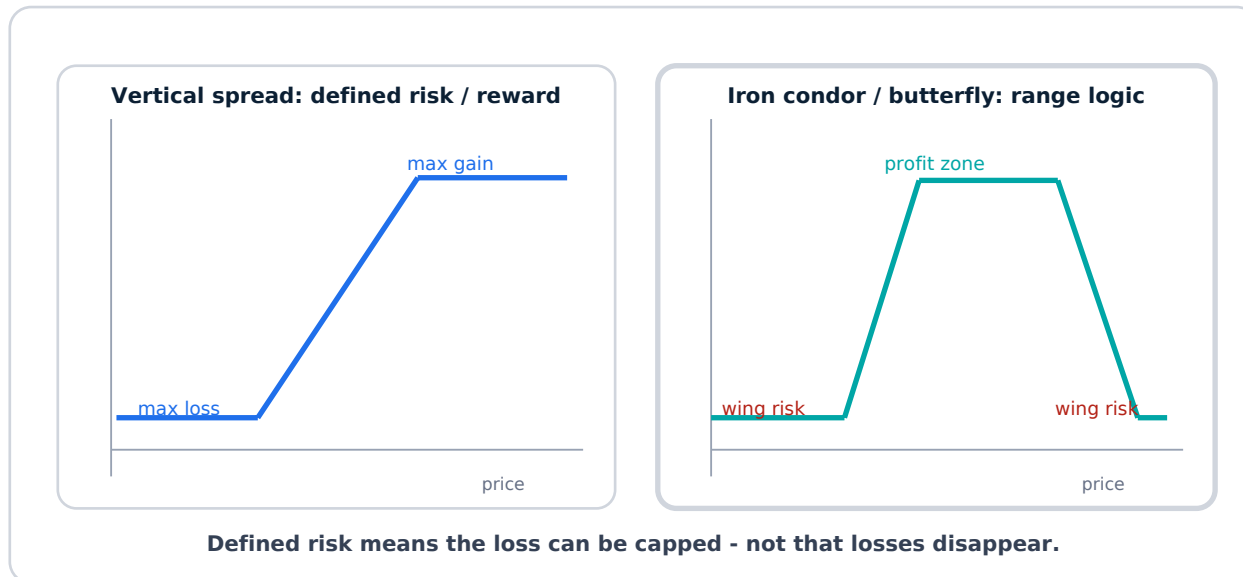
Risk Frame

This document is for education and simulation. It does not recommend buying, selling, shorting, or using options, futures, margin, crypto assets, or leveraged products.

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Learning Outcomes

- Explain what a spread does and why traders use spreads instead of naked options.
- Compare vertical spreads, iron condors, and butterflies at a beginner level.
- Read a basic payoff diagram and identify max gain, max loss, and profit zone.
- State the main risks: premium loss, assignment, liquidity, volatility, expiration, and execution.



Core Teaching Idea

Options are not a shortcut around risk. They are a way to structure risk. A spread can cap downside, lower cost, or define the profit zone, but the trader still needs a market thesis, expiration selection, strike selection, liquidity check, and risk plan.

Teaching Correction

Avoid saying 'you never lose' or 'minimal losses.' Say: 'This structure has a defined maximum loss if entered and managed as designed, but the loss can still occur.'

Options Strategy Map

Structure	Market view	Student must explain
Bull call spread	Moderately bullish; limited upside target.	Buy lower strike call, sell higher strike call; max loss, max gain, breakeven.
Bear put spread	Moderately bearish; limited downside target.	Buy higher strike put, sell lower strike put; defined risk and reward.
Iron condor	Range-bound/neutral; price expected to remain inside a zone.	Two spreads: short call spread plus short put spread; wings cap risk.
Iron butterfly	Range-bound around a tighter center price.	Higher center premium potential but narrower profit zone than many condors.
Calendar/dated spread	Different expirations; volatility and time-decay view.	More advanced; requires understanding theta, vega, and term structure.

Defined Risk Checklist

- Do all legs have the intended expiration and strike?
- Is the maximum loss visible before order submission?
- Is the bid/ask spread tight enough to enter and exit responsibly?
- Does the student understand assignment and exercise risk?
- Is the strategy liquid enough at the chosen expiration?
- Can the student draw the payoff diagram without looking it up?

From Chart Bias to Options Structure

Chart condition	Better beginner response	Advanced options idea
Clean bullish breakout with target	Paper trade the chart first; learn invalidation.	Bull call spread only after the student can explain max loss and target.
Clean bearish breakdown with target	Paper trade the directional idea.	Bear put spread with defined risk.
Clear range with repeated rejections	Practice range identification and invalidation.	Iron condor or butterfly only after options basics are mastered.
High uncertainty before news	Usually stand aside or paper trade.	Volatility structures are advanced and can be harmed by IV crush or spreads.
Student has no clear bias	No trade.	Options do not fix an unclear thesis.

Instructor Rule

Do not allow students to design multi-leg options trades until they can label the underlying chart regime and draw max gain, max loss, breakeven, and expiration behavior.

What Can Go Wrong

Risk	Explanation	Student safeguard
Premium loss	A long option or debit spread can expire worthless.	Size by maximum loss, not hoped-for profit.
Assignment/exercise	Short options can create obligations if assigned.	Understand broker rules and assignment risk before short options.
Liquidity	Wide bid/ask spreads can turn a good thesis into a poor trade.	Check volume, open interest, and realistic fill prices.
Volatility	Option prices respond to implied volatility, not only direction.	Track IV and event risk.
Expiration	Time decay and gamma can change rapidly near expiration.	Avoid short-dated contracts until experienced.
Complexity	More legs mean more execution and management risk.	Use paper trading and checklists first.

Plain-English Summary

Options are a language for shaping payoff. Students must learn the language before speaking with real money.

Student Practice Lab

Payoff Diagram Workshop

Objective: Make students prove they understand a structure before they discuss live trading.

Steps

- Assign one bullish chart, one bearish chart, and one range-bound chart.
- For each chart, students first describe the non-options trade idea and invalidation.
- Students then choose a possible options structure that matches the view.
- They draw the payoff diagram by hand.
- They label max gain, max loss, breakeven, profit zone, and expiration risk.
- They finish by explaining why the options structure might still lose money.

Deliverable

Three hand-drawn payoff diagrams plus a one-paragraph risk explanation for each.

Mini-Quiz

1. What does 'defined risk' mean in an options spread?
2. Why is an iron condor considered a range-bound strategy?
3. What is one reason a trade can lose even if the chart thesis was reasonable?
4. Why should students learn payoff diagrams before trading multi-leg options?
5. What document should options traders read before trading standardized options?

Answer Key

1. The maximum loss can be limited by the structure when entered correctly, but that loss can still happen.
2. It generally profits if price remains inside a defined range and the short options expire or decay favorably.
3. Poor liquidity, volatility changes, bad execution, expiration timing, or assignment risk can hurt the trade.
4. Payoff diagrams reveal max loss, max gain, breakevens, and what price behavior the structure needs.
5. The OCC Characteristics and Risks of Standardized Options, often called the Options Disclosure Document (ODD).

External Source Pack

Use the sources below to add outside depth to the classroom explanation. Source titles are clickable in the PDF; if printed, students can search the exact title and publisher.

Source	Why students should read it	Classroom use
Cboe Options Institute - Spread Strategies cboe.com	Explains how spreads can manage risk, reduce costs, and express a market opinion.	Use as the core outside reading for spreads.
OIC - All Strategies and Condors/Butterflies optionseducation.org	Provides strategy-specific explanations for iron condors, iron butterflies, and related structures.	Use to compare range-bound strategies.
Cboe - Common Options Trading Strategies PDF cdn.cboe.com	Visual, practical strategy explanations including iron condors and spreads.	Use for payoff diagram practice.
OCC - Characteristics and Risks of Standardized Options theocc.com	Required risk disclosure explaining standardized options and their risks.	Assign before any options simulation involving short options or multi-leg structures.

Instructor Note

Keep source discussions practical. Students should translate every external idea into a chart question: What do I need to see on price, volume, time, and risk before this idea is actionable?